coming into conflict with central statutes. As best practices evolve, success in job growth will resolve theoretical debates more easily than a thousand papers. If indeed, rigid labour laws are determined to be the key constraining factor in the creation of productive jobs. Win-win reforms are easily available. Existing permanent workers can continue till retirement with their privileges left untouched. The remaining workers could be encouraged to move into contractual employment that can be terminated, but which gives the worker some protections including severance pay, unemployment insurance, and the right to reverse unfair dismissal through appeal.

In the meantime, the government should continue to create a minimum safety net for informal workers (in the informal sector and in informal work arrangements in the formal sector) by, for example, extending the reach of national-level schemes such as the RSBY (Rashtriya Swasthya Bima Yojana) and the NPS (New Pension Scheme) and introducing *unemployment insurance schemes* (e.g. Supplementary Unemployment Benefits Fund to be created by automotive companies).

INFORMALITY OF EMPLOYMENT IN INDIA

The *extent*, *causes* and *consequences* of informality in India's employment can be seen by the following way:

i. Extent of Informality

India has witnessed impressive economic growth over the past 20 years, but despite of it, the vast majority of Indian workers continue to toil in informal employment.

- Roughly 85 per cent of the workforce is engaged in the *informal sector*; even after excluding the agricultural sector, the share of the workforce in the informal sector remains at 70 per cent.[24] The prevalence of *informal employment* workers in either the informal or formal sector who lack employment or social security benefits is even higher.